Oracle EPM Predictive Cash Forecasting

Different Method by Line Item - Advanced Lab Guide

Product Design Documentation • Implementation Guide • Training Material • Technical Reference • Troubleshooting Handbook

Advanced-stage focus

Design a cash forecasting model where every line item uses the forecast method best suited to its data source, behavior and horizon, while all outputs roll into one governed cash position.

Design Point	Scope
Core capability	Assign default forecast methods by line item and entity.
Advanced capability	Blend up to multiple methods over different period ranges.
Method portfolio	Smart Drivers, Driver-Based, Trend, Statistical Prediction, Manual Input, and future ML where supported.
Business goal	Maximize accuracy, explainability and operational fit rather than forcing one method across all cash flows.
Lab horizon	13-week rolling forecast with short/mid/far method blending.

BISP Trainings

1. Why Use Different Methods by Line Item?

Core design principle

Cash flows are not homogeneous. Customer receipts may be transaction-driven, rent may follow a simple historical pattern, tax may be event-driven, and equity inflows may require direct management judgment. PCF allows the model to respect those differences.

- Improve forecast accuracy by matching each line item to the data source that explains it best.
- Preserve explainability: users can understand why a line item is forecast the way it is.
- Use more detailed methods in the near term and more aggregated methods later in the horizon.
- Allow different legal entities to use different methods when process maturity or data readiness differs.
- Run what-if tests to compare method performance before standardizing a portfolio.

Problem with one-method design	Better PCF approach
All receipts use manual forecast	Use Smart Driver for invoice-supported receipts, Driver for later periods, Statistical where history is strong.
All supplier outflows use DPO	Use Smart Driver for near-term AP, DPO Driver later, Trend for stable long-range patterns.
All non-operating items use statistical	Use Manual for one-off financing/investing events where history is not predictive.

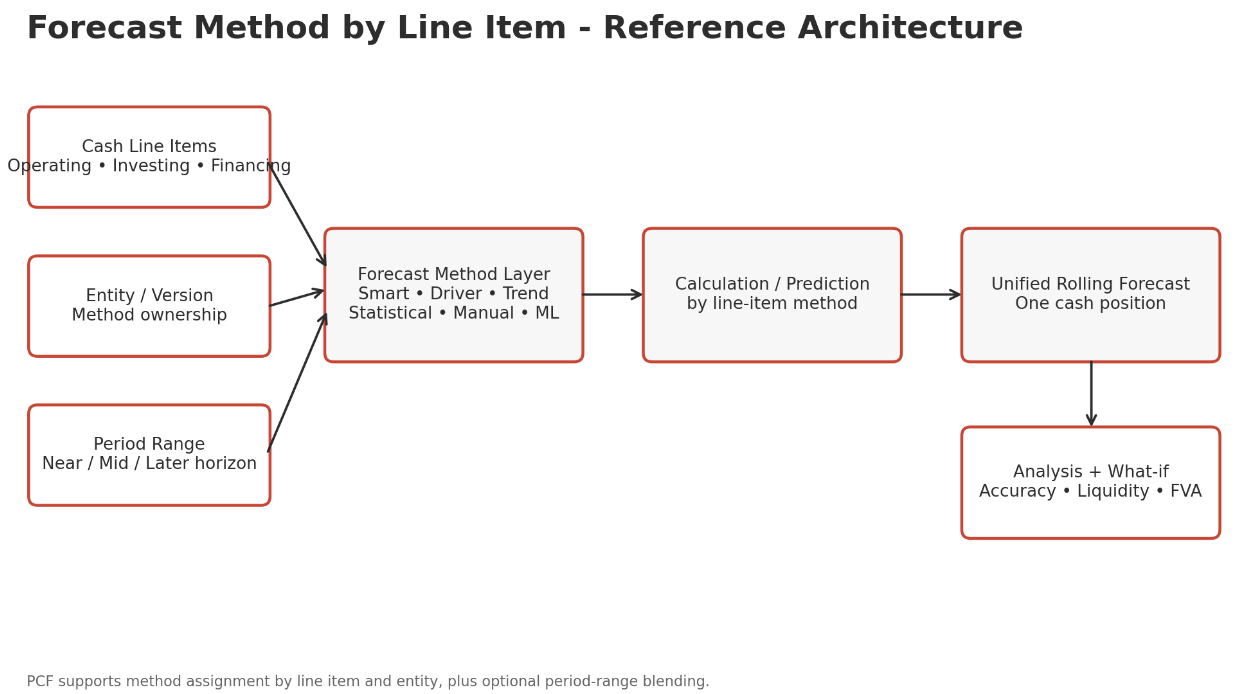
2. Oracle Capability Model

Current Oracle capability

Oracle PCF supports default forecast methods by line item and entity and supports blending different methods by line item, period range and entity. Cash Managers can change methods for their entity, and method assumptions can be copied across entities.

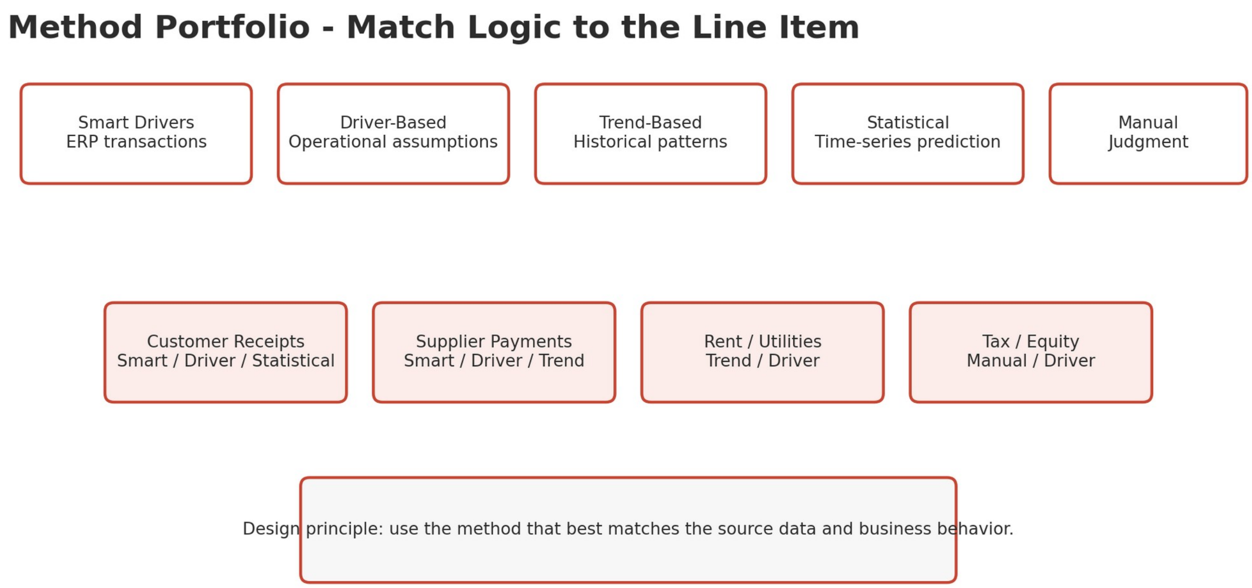
Capability	How to use it
Method by line item	Choose the best default method for each cash line.
Method by entity	Allow entities with different data maturity to use different logic.
Method by period range	Use Method 1 for near term, Method 2 for middle horizon, Method 3 for later horizon.
What-if method testing	Compare accuracy and operational fit before approving the method portfolio.
CSV / Smart View administration	Update method matrices efficiently across many line items.

3. Reference Architecture



The Forecast Method dimension acts as a method layer between the business line item and the calculation/prediction logic. Each line item can route to the appropriate method while all results are standardized into the Rolling Forecast structure.

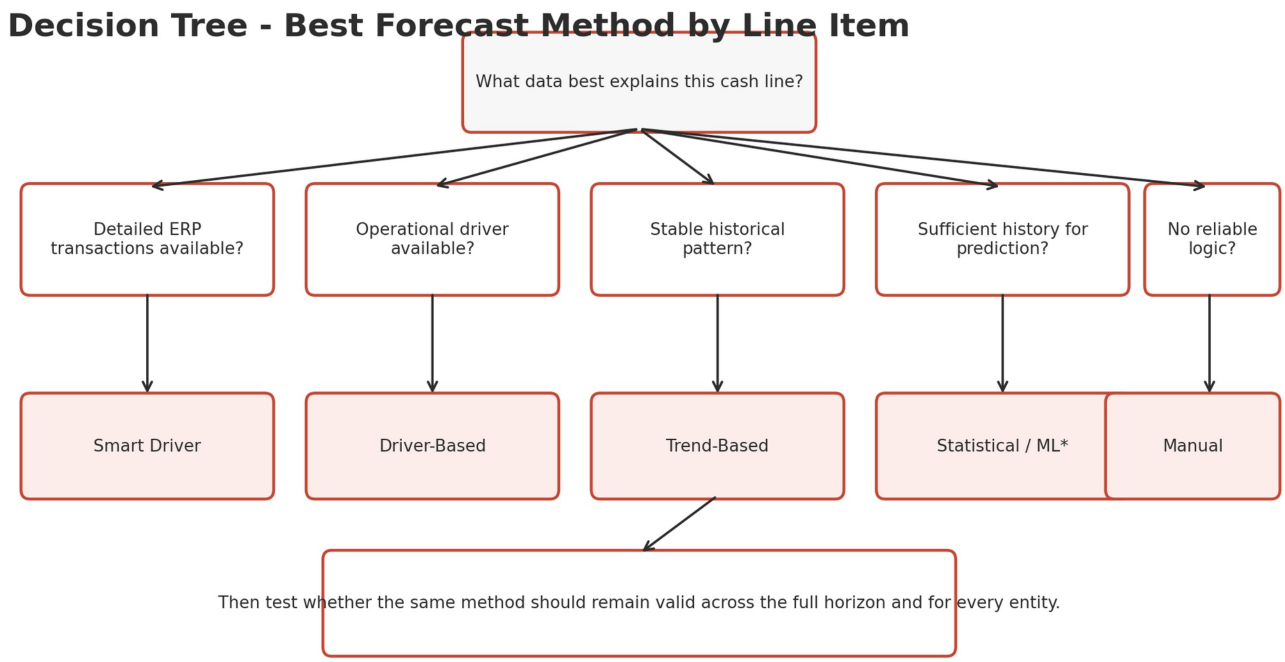
4. Forecast Method Portfolio - SmartArt View



Design takeaway

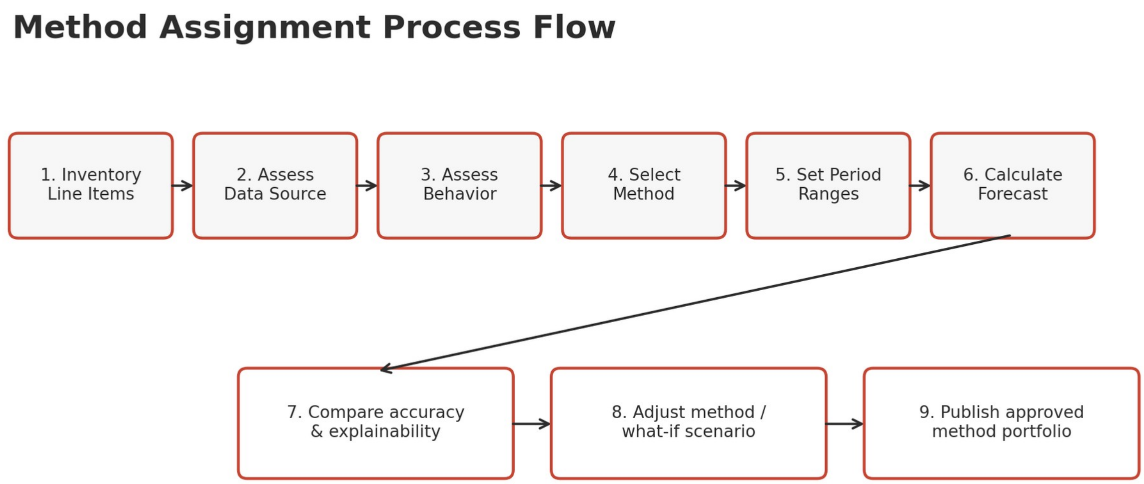
The method portfolio should be deliberate. A line item does not need the “most advanced” method; it needs the method that is most accurate, explainable, supportable and aligned with available data.

5. Method Selection Decision Tree



Method	Best fit	Typical line items
Smart Driver	Detailed ERP transactions exist	Customer Receipts, Supplier Payments
Driver-Based	Operational planning driver exists	Revenue Receipts, Salary, Tax, Project cash flows
Trend	Standard recurring periodic pattern	Rent, Utilities, Bank Charges
Statistical Prediction	Sufficient historical time-series	Bank balances, aggregated recurring cash lines
Manual Input	One-off or difficult-to-model event	Equity Inflow, acquisition payment, special tax item

6. Method Assignment Process Flow



1. Inventory all cash line items and classify them as operating, investing, financing or balance metrics.

2. Assess available data for each line item: ERP transactions, operational drivers, historical actuals or management inputs.

3. Assess behavior: recurring, seasonal, event-driven, due-date-driven or structurally volatile.

4. Select the default method by line item for each entity.

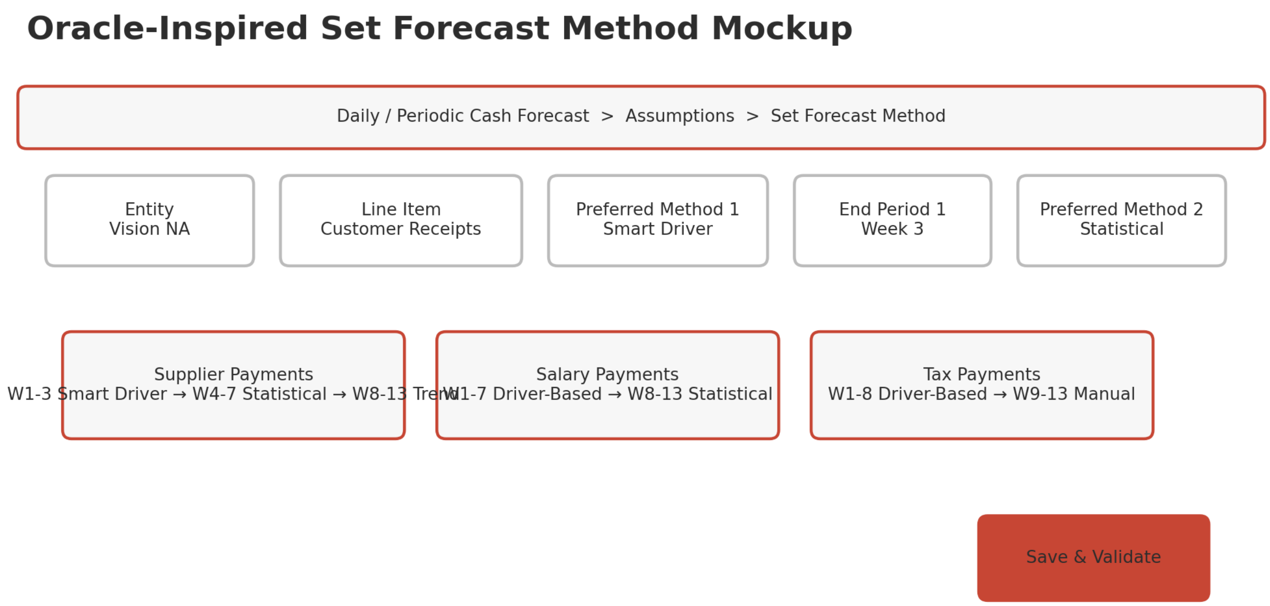
5. Determine whether the same method is appropriate for the full forecast horizon.

6. Configure method end periods where a method changes by forecast range.

7. Run forecasts and compare accuracy, explainability and user effort.

8. Refine the portfolio and document the approved method matrix.

7. Oracle-Inspired Set Forecast Method Mockup



Important setup rule

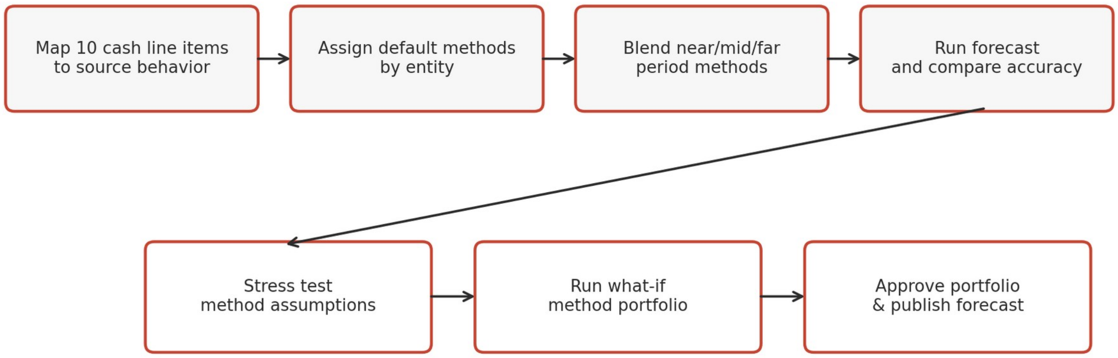
Oracle allows multiple preferred methods by period range. Each later end period must be greater than the previous one. The selected method becomes the default for that line-item slice of the rolling forecast.

8. Example Method Matrix by Line Item

Line Item	Near Term	Mid Term	Later Term	Reason
Customer Receipts	Smart Driver	Driver-Based (DSO)	Statistical	Transaction detail near-term; behavioral planning later.
Supplier Payments	Smart Driver	Statistical	Trend	ERP AP first, then history/pattern for distant weeks.
Project Receipts	Driver-Based	Driver-Based	Driver-Based	Milestone/project driver remains explanatory.
Salary Payments	Driver-Based	Driver-Based	Statistical	Payroll plan first, historical pattern later.
Rent Payments	Trend	Trend	Trend	Highly recurring periodic behavior.
Tax Payments	Driver-Based	Driver-Based	Manual	Known installment logic, later management input.
Equity Inflows	Manual	Manual	Manual	Event-driven and board-controlled.
Opening Cash	Smart / Actual Source	Calculated	Calculated	Bank/cash source plus roll-forward.

9. Advanced Lab Scenario

Advanced Lab - Build a Method Portfolio



Scenario

Vision NA is implementing a 13-week cash forecast. Treasury wants a method portfolio that maximizes near-term transaction accuracy without sacrificing medium-term maintainability.

Lab Setting	Value
Entity	Vision NA
Horizon	13 weeks
Forecast version	Base
Review scenarios	Stress, What-if Method Portfolio
Minimum cash buffer	$4.0M
Goal	Assign and blend methods for 10 representative line items

10. Lab Input - Line Item Characteristics

Line Item	Available Data	Behavior	Recommended starting method
Customer Receipts	Fusion AR invoices + receipts	Due-date/customer behavior	Smart Driver
Project Receipts	Project revenue + milestones	Milestone-driven	Driver-Based
Supplier Payments	Fusion AP invoices/payments	Due-date + payment history	Smart Driver
Salary Payments	Payroll plan	Recurring/known pay dates	Driver-Based
Rent	Historical periodic actuals	Very stable	Trend
Utilities	18 months actual history	Stable with seasonality	Trend / Statistical
Bank Charges	24 months actuals	Low volatility	Statistical
Tax Payments	Tax plan/installments	Event-driven	Driver-Based
Equity Inflow	Board-approved financing	One-off	Manual
Closing Cash	Opening + net flows	Calculated	Calculated

11. Lab Step 1 - Configure Default Methods

1. Open Cash Manager Flow and navigate to Assumptions / Set Forecast Method.
2. Select Vision NA in the Entity POV.
3. Assign a default method for every forecastable line item.
4. For lines with one method across the horizon, use one preferred method covering the full range.
5. For lines requiring blending, configure Preferred Method 1, 2 and 3 with valid end periods.
6. Save and validate the form; optionally use Smart View for bulk maintenance.

12. Lab Step 2 - Blend Customer Receipts

Period Range	Method	Reason
Week 1-3	Smart Driver	Use detailed open receivable invoices, installment/due-date behavior and recent receipts.
Week 4-7	Driver-Based DSO	Invoice population is thinner; use revenue and DSO assumptions.
Week 8-13	Statistical Prediction	Use historical aggregated receipt behavior for longer-range estimate.

Why blending works

Forecast certainty usually declines with distance. The model can start with transactional precision and gradually shift toward planning or historical methods as source detail becomes less complete.

13. Lab Step 3 - Blend Supplier Payments

Period Range	Method	Illustrative forecast ($M)	Control
W1-3	Smart Driver	5.4	Reconcile to AP transaction detail
W4-7	Statistical Prediction	6.8	Compare predicted pattern to payment calendar
W8-13	Trend	9.6	Review for seasonality/contractual changes

Total W1-13 supplier forecast = $21.8M. The method changes are invisible to the final cash-position equation; each output still posts to the Supplier Payments line item in the Rolling Forecast.

14. Lab Step 4 - Line Items That Should Not Be Over-Engineered

Line Item	Chosen Method	Why not use a more complex method?
Rent	Trend	A stable contractual pattern is explainable and sufficient.
Equity Inflow	Manual	Timing depends on management/board action, not history.
Tax Payment	Driver-Based / Manual later	Tax installments and specific events are more explanatory than time-series.
Acquisition Payment	Manual	One-off event; historical pattern has little predictive value.

Advanced modeling lesson

Complexity does not equal quality. A simple method with strong business logic can outperform an advanced method that is poorly matched to the line item.

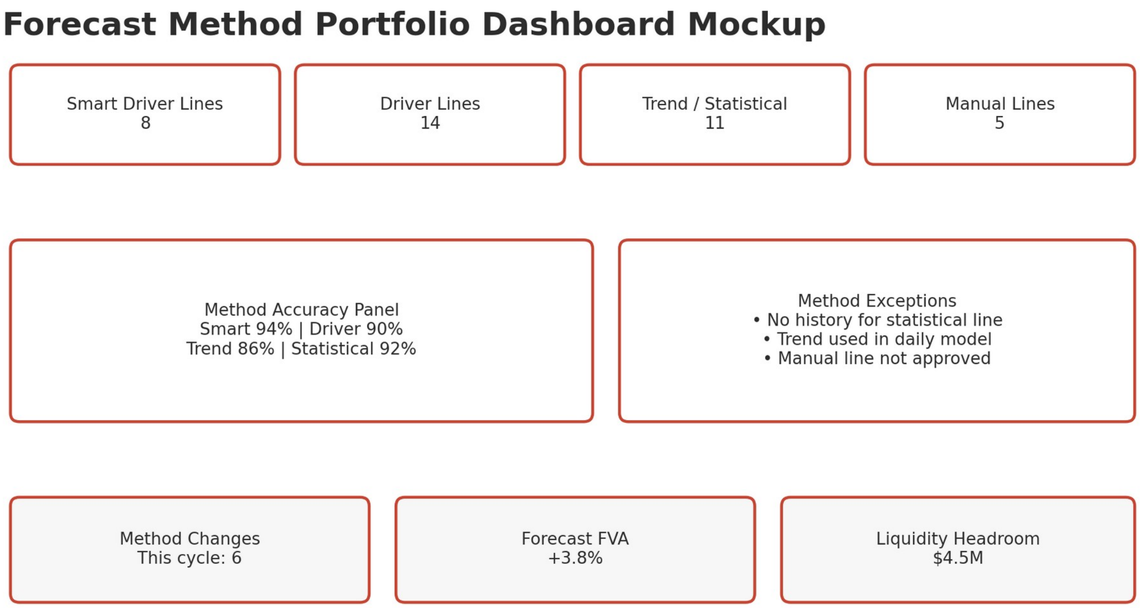
15. Entity-Specific Method Differences

Line Item	US Entity	India Entity	Reason for difference
Customer Receipts	Smart Driver	Driver-Based DSO	US has mature Fusion AR transaction data; India source feed is aggregated.
Supplier Payments	Smart Driver	Trend	India AP integration is not yet operational.
Bank Charges	Statistical	Trend	US has 36 months clean history; India has shorter history.
Tax Payments	Driver-Based	Manual	Tax process maturity differs.

Governance requirement

Method differences by entity are valid when driven by data/process maturity, but they should be documented and periodically reviewed so temporary workarounds do not become permanent without justification.

16. Forecast Portfolio Dashboard



Recommended portfolio KPIs

KPI	Use
Lines by method	Understand model composition and complexity.
Method change count	Track governance and configuration volatility.
Accuracy by method	Identify which methods add value.
Forecast Value Add (FVA)	Compare method portfolio versus simple baseline.
Override rate	High rate may indicate poor method-line fit.
Liquidity headroom	Ensure method choices support actionable treasury decisions.

17. Method Accuracy and FVA Lab

Method	Forecast ($M)	Actual ($M)	Abs. Error	Comment
Smart Driver	12.4	12.1	0.3	Strong near-term accuracy
Driver-Based	9.0	9.4	0.4	Good, assumption-driven
Trend	4.8	5.4	0.6	Seasonal shift not captured
Statistical	6.2	6.0	0.2	Strong historical fit
Manual	3.5	3.7	0.2	Dependent on judgment

- Do not compare methods only on one cycle; use rolling accuracy history.
- Compare forecast error by horizon because a method may excel near-term but weaken later.
- Track whether overrides improve or worsen accuracy.
- Remove unnecessary method complexity if it does not add forecast value.

18. What-If Planning with Method Changes

Scenario test

Treasury compares the current Supplier Payments blend against an alternative where Statistical Prediction replaces Trend in Weeks 8-13.

Portfolio	W8-13 Supplier Forecast	Closing Cash W13	Accuracy expectation	Decision
Current: Trend	9.6	5.1	86%	Baseline
What-if: Statistical	9.1	5.6	91%	Preferred if history remains valid
Stress: Manual uplift +8%	10.4	4.3	N/A	Liquidity stress case

19. Data Flow and Operational Architecture

Source Type	Line Items	Method Layer	Output
Fusion ERP transactions	AR/AP cash flows	Smart Driver	Near-term cash forecast
Financial Planning / operational plan	Revenue, salary, projects, tax	Driver-Based	Medium-term cash forecast
Historical actuals	Bank charges, utilities, recurring flows	Trend / Statistical	Pattern-based forecast
Treasury judgment	Equity, acquisitions, special financing	Manual	Event-driven forecast

Integration design

Different source pipelines can converge into the same line-item framework. Forecast Method is the abstraction layer that standardizes how diverse source data becomes cash forecast output.

20. Errors and Troubleshooting

Log / Error Examples

ERROR MLI-101 Trend method selected for Daily forecast line item. Periodic-only restriction violated.

WARN MLI-118 Statistical method has insufficient history for Entity US02 / Bank Charges.

ERROR MLI-204 Method 2 end period is not greater than Method 1 end period.

INFO MLI-001 Forecast method assumptions pushed from Parent entity to 12 child entities.

Symptom	Likely cause	Resolution
Wrong method appears in forecast	Entity or period-range assumption not updated	Review Set Forecast Method POV and period endpoints.
Trend method fails in daily model	Trend is periodic-only	Replace with another suitable daily method.
Statistical result missing	Insufficient or no history	Load history or choose Driver/Trend/Manual.
Method 2 never used	Method 1 end period covers full horizon	Correct period endpoints.
Child entity uses old method	Assumptions not pushed / manually changed	Run Push Assumptions to Entities or update entity directly.
Too many manual overrides	Default method portfolio is weak	Reassess method-line fit using accuracy/FVA.

21. Governance and Roles

Role	Responsibilities
Service Administrator	Enable forecast features, support dimensions, forms, rules and bulk setup.
Cash Manager	Maintain methods for assigned entity, perform what-if testing, review forecasts.
Controller / Treasurer	Approve material method changes and forecast publication.
Integration Owner	Ensure source data readiness for methods depending on ERP or external data.
Model Governance Lead	Review accuracy, FVA, overrides and cross-entity consistency.

22. Production Runbook

1. Validate source loads and historical data readiness.
2. Review any approved changes to the forecast-method matrix.
3. Push shared assumptions to entities where applicable.
4. Run method-specific calculations/predictions and process forecast rules.
5. Review dashboard accuracy, exceptions and liquidity impact.
6. Perform controlled what-if tests if a method is underperforming.
7. Approve method changes and save evidence.
8. Publish the final forecast and archive the method matrix for the cycle.

23. Implementation Checklist

☐ Inventory and classify all cash line items.

☐ Map source data availability by entity and horizon.

☐ Define method-selection criteria.

☐ Configure default methods by line item and entity.

☐ Configure period-based blending for lines that need multiple methods.

☐ Test all supported methods used in the design.

☐ Define accuracy/FVA reporting.

☐ Define governance for method changes.

☐ Test Push Assumptions to Entities.

☐ Train Cash Managers on Set Forecast Method and what-if analysis.

☐ Prepare troubleshooting and production support documentation.

24. Advanced Student Challenge

Challenge

Design the method portfolio for a multinational company with three entities: Entity A has full Fusion ERP integration; Entity B has only planning data; Entity C has strong historical cash data but weak transaction detail.

- Assign methods to Customer Receipts, Supplier Payments, Salaries, Rent, Tax, Bank Charges and Equity Inflows for each entity.
- Design period ranges for Customer Receipts and Supplier Payments.
- Explain which method differences are temporary versus strategic.
- Define a KPI framework to determine whether the portfolio should change after three forecast cycles.
- Propose a stress scenario where transaction data becomes unavailable and identify fallback methods.

25. Technical Reference - Oracle Setup Rules

Oracle setup concept	Reference behavior
Forecast methods by line item	Each line item has a default forecast method used to calculate its cash forecast.
Entity-specific setup	Methods are set per entity; Cash Managers can adjust their entity.
Period-based methods	Different methods can apply to different time frames within the rolling horizon.
Preferred Method 1/2/3	Each method can have an end period; later end periods must increase sequentially.
Push assumptions	Daily / Periodic Push Assumptions to Entities can copy assumptions to other entities.
Bulk maintenance	Smart View or CSV-based setup can accelerate large method matrices.

26. Summary and Completion Criteria

- Every material line item has a method selected based on its data and business behavior.
- Entities can legitimately use different methods when source/process maturity differs.
- Near-, mid- and later-horizon method blending is configured where it improves forecast quality.
- Method changes are measured through accuracy, FVA, override rate and liquidity impact.
- Governance distinguishes method experimentation from production-approved method design.
- The solution remains explainable even when multiple methods contribute to one rolling cash forecast.

End state

A mature PCF implementation does not ask “Which forecast method do we use?” It asks “Which method is best for this line item, this entity and this horizon?”